

ABV- Indian Institute of Information Technology and Management Gwalior
Major Examination – 2024
Subject: Managerial Economics
MBA1st semester/ IMG-7th Semester

MM: 60

Time: 3hrs

Section-A

Answer any Four questions from the following: (10 Marks X 4 No= 40 Marks)

1. What are the causes of Inflation? Explain the instrument of fiscal policy and monetary policy for controlling inflation.
2. What are the characteristics of Monopoly? How is price determined under monopoly?
3. Explain the difference between Monopolistic and Oligopoly market? Discuss any two theories of price determination under oligopoly market?
4. What are the characteristics of perfect market? How price is determined in perfect market.
5. Explain the relationship between average cost and Marginal cost

Section-B

Answer any Two questions from the following : (10 Marks X 2 No= 20 Marks)

6. (a) Suppose the price elasticity of demand for a good is -0.2. If there is a 5% increase in the price of the good, by what percentage will the demand for the good go down?

(b) Find elasticity of demand when price is Rs 7/- if $Q = 4P^2 + 25P + 300$,

7. a) Suppose Cost (C) and Revenue functions are given as:

$$C = 100 + 5Q^2$$

$$R = 150Q - 2.5Q^2$$

Find a) Profit Maximizing output b) Maximum Profit c) Profitable range of Output

b) Prove that $Ed = \frac{AR}{AR - MR}$

8. Prove that Marginal Cost is independent of Fixed cost? Why Average Cost is U- Shaped

ABV- Indian Institute of Information Technology and Management, Gwalior
Minor-1 Examination – Sept 2024
MBA –1st Semester/ IPG-VIth Semester
Subject: Managerial Economics/ Business Economics

Time: 2hrs

MM: 50 marks

Section A (30 Marks)

Answer any THREE Questions from the following: (3 Nos X 10 Marks= 30 Marks)

1. Explain the circular flow of economic activity in a closed and open economy.
2. Explain the various types of elasticity of demand? How elasticity of demand can be measured.
3. Explain the properties of Indifference curve? How consumers reach equilibrium on indifference curve.
4. Explain the income effect and price effect on Indifference Curve
5. Describe the product line. Length, width and depth of any international or national brand

Section (20 Marks)

Answer any TWO Questions from the following: (2 Nos X 10 Marks=20 Marks)

- 1) Prove that $E_d = (P/Q) * (dq/dp)$
- 2) Estimate the demand for two-wheeler from 2025 to 2026

Year	2017	2018	2019	2020	2021	2022	2023
Demand for two-wheeler (in Lakhs)	15	18	21	16	21	23	26

3. Estimate the following

Price (In Lakhs)	15	18	14	12	13	15	16	18
Qty Demand for four wheelers (In Lakhs)	20	25	25	30	25	30	35	40

- a) Estimate the regression equations of price on Quantity? Estimate the quantity demand when price is 24 questions
- b) If company target to sale 45 lakhs four wheelers in 2025, than what price will fix by the management ?

2025
 $y = m(x) + c$
 $1.5357(5) + 20$
 $=$

$$E_d = \frac{P}{Q} \times \frac{dP}{dQ} \Delta$$

$$y = mx + c$$

$$m = \frac{\sum xy}{\sum x^2} = \frac{43}{28} = 1.5357$$

$$c = \frac{\sum y}{N} = \frac{140}{7} = 20$$

ABV- Indian Institute of Information Technology and Management Gwalior
End term Exam -Dec 2025
MBA 1st Semester/ IMG MBA 5th Semester
Subject: Managerial Economics/Busin

MM: 60

Time: 3 Hrs

Answer any SIX questions from the following:

1. Explain the characteristics of a perfectly competitive market. How is price determined under perfect competition
2. Explain the equilibrium of a firm and industry under different market conditions.
3. What are the major characteristics of monopoly? How is price determined under monopoly?
4. Explain any one theory of oligopoly market. How is price determined under an oligopolistic structure?
5. What are the major causes of inflation? Discuss how inflation affects different sections of society.
6. Explain the instruments of fiscal and monetary policy. How are these policies used to achieve balanced economic growth?
7. a) The total cost function of a firm is $C(x) = \frac{x^3}{3} - 5x^2 + 28x + 10$

A tax of ₹2 per unit is imposed on the output and added to cost. If the market demand function is $p = 2530 - 5x$, determine the profit-maximizing output and price.

- b) Explain the relationship between Average Cost (AC) and Marginal Cost (MC).
8. Discuss your views on Demonetisation and the GST policy. Explain their impact on the Indian economy

ABV- Indian Institute of Information Technology and Management, Gwalior
Midterm Examination – 2025
MBA –1st Semester/ IPG-7th Semester
Subject: Managerial Economics/Business Economics

Time: 2hrs

MM: 40

(Mark 5X8=40 marks)

Answer five questions from the following:

1. a) Explain the relationship between Average Cost and Marginal cost
b) Prove That $E_p = AR / (AR - MR)$
2. Explain the circular flow of economic activity in a closed and open economy.
3. Explain the various types of elasticity of demand? Describe the Difference between Cross Elasticity of Demand and Income elasticity of demand
4. Explain the relationship between Average Revenue and Marginal revenue curve in perfect market and monopoly.
5. Discuss the scope and importance of Managerial Economics for a manager.
6. a) Why Average Cost curve is U-Shaped
b) Demonstrate the Product line, Product length, Product breadth and Product width of any industry you know.
7. a) For a particulate product, price was reduced from Rs 50 per unit to Rs 48 to attract more customers. It was observed that demand for the product subsequently increased from 100 to 110 units. Calculate the price elasticity of demand
b) Fit a straight-line trend by the method of least squares and tabulate the trend values. Estimate the Demand for 2026, 2027 and 2028

Year	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Demand for two-wheeler ('000)	35	4	40	53	58	46	50	60	65	68

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Subject: Managerial Economics/Busin

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